(i) Extraction of edible oil from seeds like groundnut, sesame, through treditional wooden churner.

b. Large Scale

Large scale units require huge capital. They employ large number of workers and produce the goods on large scale.

Examples

(i) Manufacturing Textiles in a large Textile mill. Example. Raymonds, Ramraj Cotton

(ii) Extraction of edible oil from oil seeds in oil mills. Example. Suffola, Sunflower

2. Activities on the Basis of Ownership

On the basis of ownership business activities may be broadly grouped into three categories.

a. Private Enterprises

An enterprise is said to be a private enterprise where it is owned, managed and controlled by persons other than Government.

(i) Sole proprietorship. Example - Sundar Stationeries

(ii) Partnership firms. Example - Ramesh Bros.

b. Public Enterprises

An enterprise is said to be a public enterprise where it is owned, managed and controlled by Government or any of its agencies or both. Public enterprises may be organized in several forms such as,

(i)Departmental undertaking - Public Works Department (PWD)

(ii)Public Corporation - Oil and Natural Gas Corporation (ONGC)

(iii)Government Company - State Trading Corporation (STC)

c. Joint Enterprises

An enterprise is said to be a joint enterprise where it is owned, managed and controlled by Government and private entrepreneurs.

3. Activities on the Basis of Function

On the basis of functions, business activities may be broadly grouped into two categories.

a. Industry

Industry includes all those business activities which are connected with raising, producing or processing of consumer goods. Example - bread, butter, cheese, shoes, or capital goods like machinery.

b. Commerce

It establishes a link between the producers and consumers of goods and maintains a smooth and uninterrupted flow of goods from producers to consumers.

2.03 Characteristics of Business

The essential characteristics of business are as follows:

i. Production or Procurement of Goods

Goods must be produced or procured in order to satisfy human wants.

ii. Sale, Transfer or Exchange

There must be sale or exchange of goods or services. When a person weaves cloth for his personal consumption, it is not business because there is no transfer or sale.

iii. Dealing in Goods and Services

Goods produced or procured may be consumer goods like cloth, pen, brush, bag etc., or producer-goods like plant and machinery. Services refer to activities

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